

Account Name	Type	Meaning	Example	Type
Exchange rate gain	Revenue	Profit earned due to favorable currency fluctuations.	Selling \$10,000 @ ₹85 instead of ₹83 = Gain ₹20,000.	
Exchange rate loss	Expense	Loss incurred due to unfavorable currency fluctuations.	Paying vendor \$5,000 @ ₹84 instead of ₹82 = Loss ₹10,000.	
Intercompany accounting	Expense	Adjustments for transactions within group companies.	Expense allocations between head office and branch.	
Sales tax rounding	Expense	Minor rounding difference while calculating sales tax.	GST invoice shows ₹1.49 → booked as ₹1.50.	
Allocation	Expense	Distribution of costs or income across departments.	Splitting rent ₹1,00,000 between Dept A & B.	
Investment tax	Expense	Tax paid on investments.	Tax deducted on mutual fund or FD income.	
Rounding difference in reporting currency	Expense	Adjustment when converting into reporting currency.	USD → EUR conversion difference while consolidation.	
Penny difference in accounting currency	Expense	Small currency rounding adjustments.	Entry rounded by 0.01.	
Year-end result	Equity	Net profit/loss transferred to retained earnings.	FY Profit ₹5,00,000 → moved to retained earnings.	
Ledger journal	Expense	Manual journal entry adjustments.	Adjusting wrong posting via journal.	
Cash discount	Expense / Revenue	Reduction given/received for early payment.	2% discount to customer on ₹1,00,000 invoice.	
Sales account for revaluation differences	Revenue	Gain from revaluation of sales amounts.	Export sale gain due to exchange fluctuation.	
Payment fees	Expense	Bank or payment processing charges.	₹500 bank charges for RTGS transfer.	
Sales reporting	Revenue	Reported sales revenue.	Total sales ₹25,00,000 for Q1.	
Transfer of opening and closing transactions	Equity	Carry-forward balances from prior periods.	Opening balance of reserves.	
Rent	Expense	Cost of leasing premises.	Office rent ₹50,000 per month.	
Accounting currency conversion gain	Revenue	Profit from converting currencies in accounting books.	Receivable settled at favorable rate.	
Accounting currency conversion loss	Expense	Loss from converting currencies in accounting books.	Vendor payable settled at higher rate.	
Withholding tax	Liability	Tax withheld from payments, payable to govt.	TDS deducted on vendor payment.	
Bridged cost not efficient, cost consumed WIP	Cost	Inefficient costs allocated to work-in-progress.	Machine downtime charged to WIP.	
Fixed asset clearing account	Asset	Temporary holding before final FA capitalization.	Asset purchased, pending capitalization.	
Cost of initial cost consumed, WIP	Cost	Initial direct costs charged to WIP.	Raw material issued to production.	
Reporting currency conversion loss	Expense	Loss due to reporting currency adjustments.	EUR books consolidated in USD.	
Reporting currency conversion gain	Revenue	Gain due to reporting currency adjustments.	Subsidiary reporting adjustment.	
Customer balance	Asset	Amount receivable from customers.	Outstanding invoice ₹2,00,000.	
Customer interest	Revenue	Interest income charged to customers.	Overdue invoice interest 12%.	
Customer rebate	Expense	Discounts/rebates given to customers.	Year-end rebate 5% on sales.	
Customer utilization fee	Revenue	Fee charged for usage of services.	Cloud usage fee billed monthly.	
Customer settlement discount	Expense	Discount allowed for early settlement.	5% early payment discount.	
Customer invoice fee	Revenue	Extra charges billed on invoices.	₹200 invoice processing charge.	
Reimbursement	Expense	Repayment of expenses incurred.	Employee travel reimbursement.	
Vendor balance	Liability	Payables outstanding to vendors.	Vendor invoice ₹1,50,000 unpaid.	
Vendor advance	Asset	Advance payments made to vendors.	Advance ₹50,000 paid before delivery.	
Vendor debit account	Asset	Debit postings for vendor adjustments.	Debit memo for returned goods.	
Vendor credit account	Liability	Credit postings for vendor adjustments.	Credit memo issued by vendor.	
Vendor settlement discount	Expense	Discount received at settlement.	3% settlement discount from vendor.	
Sales order revenue	Revenue	Income from sales orders.	Sales order ₹10,00,000 billed.	
Sales order return	Expense	Goods returned by customers.	Customer returns worth ₹25,000.	

Cost of goods sold (COGS)	Cost	Direct cost of goods sold.	Purchase cost ₹7,00,000 for sold items.	
Sales order discount	Expense	Discount given on sales orders.	10% discount on bulk order.	
Order freight	Expense	Freight cost on sales orders.	Transport charges ₹15,000.	
Order fees	Expense	Extra charges on sales orders.	Packing & admin fees ₹500.	
Sales order packaging	Expense	Packaging material costs.	Boxes, labels, tape costs ₹2,000.	
Sales commissions	Expense	Commission paid to sales staff or agents.	5% sales commission to agent.	
Sales order fee revenue	Revenue	Order processing fees billed to customer.	₹1,000 charged as order handling fee.	
Sales packing slip revenue offset	Revenue	Adjustment for packing slip postings.	Revenue reclassified during shipment posting.	
Sales weight loss account	Expense	Loss from weight differences in goods sold.	100kg sold, only 98kg delivered.	
Cash weight loss account	Expense	Cash adjustment for weight loss.	Settlement difference ₹200.	
Purchase expenditure for product	Cost	Direct purchase expenses.	Buying raw material ₹5,00,000.	
Purchases	Cost	Total cost of purchased goods.	Monthly purchases ₹12,00,000.	
Purchase tax	Expense	Tax paid on purchases.	GST 18% on raw material purchase.	
Purchase freight	Expense	Freight charges for purchased goods.	Trucking charges ₹10,000.	
Purchase price variance	Cost	Difference between standard & actual purchase price.	Standard ₹100/unit, actual ₹110 = variance.	
Purchase offset account	Liability	Clearing account for purchase postings.	Interim credit entry during PO invoice.	
Purchase order clearing offset	Liability	Clearing account during PO settlements.	Invoice received against GRN.	
Purchase charges (freight, duty, etc.)	Expense	Extra charges on purchases.	Import duty ₹25,000.	
Purchase delivery variance	Cost	Variance between delivered vs. expected purchase cost.	Vendor delivered short supply.	
Cost of purchase not consumed	Cost	Unconsumed purchase cost carried forward.	Stock not issued to production.	
Purchase production line account	Cost	Cost assigned to production.	Raw material issued to line A.	
Cost of purchased material consumed	Cost	Direct cost of consumed material.	Raw material used in production.	
Purchase fixed asset acquisition	Asset	Asset purchased from vendor.	Laptop ₹80,000 purchased.	
Inventory issue	Asset	Goods issued from inventory.	Material issued for production.	
Inventory receipt	Asset	Goods received into inventory.	GRN for 500 units raw material.	
Inventory separation, profit	Revenue	Profit identified during inventory adjustment.	Extra 10kg stock found.	
Inventory separation, loss	Expense	Loss identified during inventory adjustment.	5kg stock missing.	
Inventory profit loss offset	Expense	Adjusting entry for stock differences.	Balancing stock audit entries.	
Inventory closing	Asset	Closing balance of stock.	Unsold stock ₹3,50,000.	
Manufacturing overhead	Cost	Indirect cost of production.	Factory electricity ₹25,000.	Manufacturing & WIP
Manufacturing variance	Cost	Difference between standard & actual manufacturing cost.	Standard cost ₹2,00,000 vs actual ₹2,20,000.	Manufacturing & WIP
Cost of material consumed, WIP	Cost	Raw material issued to work-in-progress.	Steel issued to WIP.	Manufacturing & WIP
Estimated manufactured cost, WIP	Cost	Estimated cost of production in process.	Estimated cost ₹5,00,000 in WIP.	Manufacturing & WIP
Manufacturing WIP	Asset	Value of work-in-progress.	Partially completed goods ₹4,50,000.	Manufacturing & WIP
Finished goods inventory	Asset	Completed goods held in stock.	Finished stock ₹10,00,000.	Manufacturing & WIP
Production order WIP	Asset	WIP specific to a production order.	Order #100 partially complete.	Manufacturing & WIP
Production order variance	Cost	Variance in production order costs.	Overhead variance in job order.	Manufacturing & WIP
Production absorption stop	Expense	Costs not absorbed into production.	Idle time cost ₹15,000.	Manufacturing & WIP
Project – WIP cost	Asset	Accumulated project work-in-progress cost.	Construction project material ₹5,00,000 pending completion.	PMA
Project – WIP expenditure	Asset	Costs incurred but not yet invoiced in projects.	Consultant fees booked as WIP.	PMA
Project – WIP on-account	Asset	Advance billings against project WIP.	Customer billed ₹2,00,000 before delivery.	PMA
Project – WIP revenue	Revenue	Revenue recognized for project in progress.	50% of project billed.	PMA

Project – WIP value	Asset	Value of ongoing project work.	Road construction valued ₹15,00,000.	PMA
Project – WIP elimination – production	Expense	Eliminated double-counted WIP in production.	Removing duplicate entries.	PMA
Project – revenue	Revenue	Income earned from projects.	IT project billed ₹8,00,000.	PMA
Project – cost	Cost	Direct project expenses.	Developer salary booked to project.	PMA
Project – profit	Revenue	Net project gain after cost.	₹2,00,000 profit on contract.	PMA
Project – loss	Expense	Net project loss after cost.	Delay penalties ₹50,000.	PMA
Project – variance	Cost	Difference between budgeted & actual cost.	Budget ₹10,00,000 vs actual ₹12,00,000.	PMA
Project – invoice revenue on account	Revenue	Revenue billed on account for project.	Invoice raised before completion.	PMA
Project – invoice cost on account	Expense	Cost billed to project on account.	Vendor advance booked.	PMA
Project – WIP elimination	Expense	Reversal of WIP balances for closure.	WIP transfer at project completion.	PMA
Fixed assets	Asset	Long-term tangible resources.	Buildings, machinery.	FA
Fixed asset acquisition	Asset	Asset purchases recorded.	New vehicle ₹10,00,000.	FA
Fixed asset disposal	Asset	Removal of sold/disposed asset.	Old computer scrapped.	FA
Fixed asset accumulated depreciation	Asset (contra)	Total depreciation charged till date.	Machine depreciation ₹2,50,000.	FA
Depreciation expense	Expense	Periodic reduction in asset value.	Annual depreciation ₹50,000.	FA
Gain on sale of asset	Revenue	Profit from sale of fixed asset.	Sold asset ₹1,20,000, book value ₹1,00,000 → Gain ₹20,000.	FA
Loss on sale of asset	Expense	Loss from asset sale.	Sold asset ₹80,000, book value ₹1,00,000 → Loss ₹20,000.	FA
Revaluation reserve	Equity	Reserve created for asset revaluation.	Land revalued upward ₹5,00,000.	FA
Capital work-in-progress (CWIP)	Asset	Incomplete asset construction.	Building under construction ₹25,00,000.	FA
Bank account	Asset	Balance available in bank.	ICICI Bank current account ₹2,00,000.	Bank, Loans & General Ledger
Cash account	Asset	Physical cash in hand.	Petty cash ₹10,000.	Bank, Loans & General Ledger
Loan payable	Liability	Borrowings from banks/others.	Term loan ₹50,00,000.	Bank, Loans & General Ledger
Loan interest payable	Liability	Accrued but unpaid interest.	Interest accrued ₹15,000.	Bank, Loans & General Ledger
Loan interest expense	Expense	Interest charges paid.	Bank loan interest ₹30,000.	Bank, Loans & General Ledger
Loan interest income	Revenue	Interest earned on loans granted.	Loan to employee interest.	Bank, Loans & General Ledger
General reserves	Equity	Retained surplus for future use.	Reserve fund ₹10,00,000.	Bank, Loans & General Ledger
Share capital	Equity	Owners' contribution to company.	Issued capital ₹1 Cr.	Bank, Loans & General Ledger
Retained earnings	Equity	Accumulated profits over years.	Profit balance ₹25,00,000.	Bank, Loans & General Ledger
Dividends declared	Liability	Dividend payable to shareholders.	Dividend ₹5,00,000 announced.	Bank, Loans & General Ledger
Dividend paid	Equity (-)	Distribution to shareholders.	Dividend paid ₹5,00,000.	Bank, Loans & General Ledger
Salaries & wages	Expense	Employee remuneration.	Monthly payroll ₹8,00,000.	Other Expenses & Adjustments
Insurance expense	Expense	Premiums paid for coverage.	Fire insurance ₹25,000.	Other Expenses & Adjustments
Travelling expense	Expense	Travel costs.	Air ticket ₹12,000 for business trip.	Other Expenses & Adjustments
Telephone expense	Expense	Mobile/landline charges.	Airtel bill ₹3,000.	Other Expenses & Adjustments
Electricity expense	Expense	Power consumption.	Office electricity bill ₹20,000.	Other Expenses & Adjustments
Audit fees	Expense	Fees paid to auditors.	Statutory audit fee ₹50,000.	Other Expenses & Adjustments
Legal & professional charges	Expense	Fees to lawyers/consultants.	Legal advice charges ₹15,000.	Other Expenses & Adjustments
Bad debts written off	Expense	Irrecoverable debts.	Customer default ₹1,00,000.	Other Expenses & Adjustments
Provision for doubtful debts	Expense	Estimated bad debt provision.	5% provision on receivables.	Other Expenses & Adjustments
Interest income	Revenue	Earnings from interest.	FD interest ₹40,000.	Other Expenses & Adjustments
Miscellaneous income	Revenue	Other small incomes.	Scrap sales ₹5,000.	Other Expenses & Adjustments
Miscellaneous expense	Expense	General small expenses.	Stationery ₹2,000.	Other Expenses & Adjustments

Tax payable (Income tax, GST, VAT)	Liability	Government taxes due.	GST payable ₹75,000.	Other Expenses & Adjustments
Deferred tax asset	Asset	Future tax benefit.	Tax timing difference.	Other Expenses & Adjustments
Deferred tax liability	Liability	Future tax payable.	Accelerated depreciation.	Other Expenses & Adjustments
Prepaid expenses	Asset	Payments made in advance for future benefits.	Insurance premium ₹60,000 paid for 12 months → 9 months prepaid = ₹45,000.	Special Accounts & Adjustments
Accrued expenses	Liability	Expenses incurred but not yet paid.	Salary for March payable in April ₹2,00,000.	Special Accounts & Adjustments
Outstanding expenses	Liability	Same as accrued – unpaid expenses.	Rent unpaid ₹50,000.	Special Accounts & Adjustments
Accrued income	Asset	Income earned but not yet received.	Interest due ₹5,000.	Special Accounts & Adjustments
Unearned income (advance received)	Liability	Income collected in advance.	Customer paid ₹1,00,000 in March for April service.	Special Accounts & Adjustments
Provision for expenses	Liability	Estimate set aside for future expense.	Provision for bonus ₹3,00,000.	Special Accounts & Adjustments
Provision for warranty	Liability	Expected warranty claims.	Warranty provision ₹1,50,000.	Special Accounts & Adjustments
Unrealized exchange gain	Revenue	Gain on revalued foreign balances not yet settled.	Debtor \$10,000 revalued at higher rate.	Special Accounts & Adjustments
Unrealized exchange loss	Expense	Loss on revalued foreign balances not yet settled.	Vendor \$5,000 revalued at higher rate.	Special Accounts & Adjustments
Inventory adjustment	Expense / Cost	Adjustment from stock audit or valuation change.	Stock physically less than books by ₹20,000.	Special Accounts & Adjustments
Inventory variance (price)	Cost	Difference between standard & actual purchase cost.	Standard cost ₹100/unit, actual ₹110/unit.	Special Accounts & Adjustments
Inventory variance (quantity)	Cost	Difference in expected vs actual quantity.	Expected 500 units, received 480 units.	Special Accounts & Adjustments
Closing stock	Asset	Goods available at end of period.	₹10,00,000 inventory unsold.	Special Accounts & Adjustments
Opening stock	Asset	Goods available at beginning of period.	₹8,00,000 opening inventory.	Special Accounts & Adjustments
Suspense account	Asset / Liability	Temporary holding account until error is resolved.	Payment received but customer unknown.	Special Accounts & Adjustments
Round-off account	Expense / Revenue	Adjustment for round-off differences.	Invoice total ₹99.49 rounded to ₹99.50.	Special Accounts & Adjustments
Transfer to retained earnings	Equity	Net profit/loss transferred to equity at year end.	FY profit ₹15,00,000 → moved to reserves.	Special Accounts & Adjustments
Adjustment account (general)	Expense / Revenue	Temporary account for adjustments.	Balance correction entry.	Special Accounts & Adjustments
Contra account	Asset / Liability	Used to offset related accounts.	Accumulated depreciation offsets asset value.	Special Accounts & Adjustments
Provision for doubtful receivables	Expense	Expected credit losses on receivables.	2% of ₹50,00,000 debtors = ₹1,00,000 provision.	Special Accounts & Adjustments
Reserve account	Equity	Retained surplus set aside for specific purpose.	General reserve ₹10,00,000.	Special Accounts & Adjustments
Profit & loss account	Equity	Cumulative profit/loss.	Current year net profit.	Special Accounts & Adjustments
Drawing / Owner's withdrawal	Equity (-)	Withdrawals by proprietor/partners.	Owner withdraws ₹1,00,000 for personal use.	Special Accounts & Adjustments
Capital account	Equity	Owner's investment in business.	Capital introduced ₹20,00,000.	Special Accounts & Adjustments